The Replacement

Once a decision was taken to remove Mistry, the consensus was to carry this out in the shortest possible time. Nohria says, ‘You can’t do these things with the passage of time; you have to do this suddenly. Where a CEO is [to be] fired, it has to be done quickly with very little advance notice and you have to put another person the next day because no business enterprise can live with uncertainty at the top.’

Until a day or two before the Tata Sons board meeting on 24 October 2016, the day that Mistry was voted out, only a handful of people knew what was to happen. Outside the board of Tata Sons, Mohan Parasaran, Tata Trusts’ lawyer, and R. Venkataramanan, the managing trustee of Tata Trusts and Ratan’s close confidant, were among the few who knew about the plan. Some others who were privy to it were N.A. Soonawala and Vijay Singh, former Union defence secretary and nominee director of Tata Trusts in the board of Tata Sons, and Nohria.

On 10 October, the matter of Mistry’s removal was discussed between Ratan, Singh and Venkataramanan. Ratan asked for Singh’s opinion on the matter when they met in Delhi. His response was, ‘I would fully support the removal [of Mistry].’ Then came the question of the board meeting at which they should take the decision. There was one coming up in October. Singh recalls opining that it may be prudent not to wait. Singh told Ratan, ‘It would be the biggest business story of the century,’ but Ratan shrugged it off.

On 22 October, there was another meeting in Mumbai between Ratan, Singh, Venkataramanan, Srinivasan, Ajay Piramal and Parasaran. It was to finalize the finer details of how they would introduce the resolution to replace Mistry in the next board meeting. They wanted to complete the task as smoothly as possible.

‘We went over the sequence of what should be done,’ Singh remembers. It was decided that one of the trust members would propose the motion and another would support it. They decided to keep the plan confidential. Singh was asked what he thought would be Ronen Sen’s stance (Sen is a former Indian Ambassador to the US and a director on the board of Tata Sons). He replied, ‘He would unequivocally support the removal as much as I would but do speak to him.’ Ratan asked Sen who, without hesitation, gave his consent. The other directors were spoken to on the day of the meeting.